Balance Sheet

A balance sheet lists down a company's assets, liabilities, and shareholders' equity at a specific point in time.

The company's assets include **cash, short-term investments, land, machinery, automobiles**, and so on. The liabilities include **loans from suppliers, bank loans, etc.**

A balance sheet is generated at the end of an annual year i.e. 31st March of every year.

Assets	Liabilities
Machinery	Bank Loans
Land	Provisions
Automobiles	Loans from Suppliers
Short-term Investments	Borrowings
Cash	Trade Payables
Investments	
Inventories	

As we can see, a balance sheet has two sides: Assets and Liabilities.

The total of both sides must be equal on a balance sheet.

Assets An asset is a resource which a company own and controls which has an ability to generate future economic benefit to the company.

Liabilities A liability is an obligation which a company owes and the company will have to transfer of the economic benefit to some external party.